

Interview – Group 1

Name: Sunil Thakur

Designation: Partner

Organisation: Quadria Capital

Contact No.: +91 9810500111

Mail: sunil.thakur@quadriacapital.com

Website: quadriacapital.com

Quadria Capital

Quadria Capital is a Singapore based private equity firm founded in 2012 by Abrar Mir and Dr. Amit Varma. The firm focuses exclusively on healthcare investments across South and Southeast Asia, with offices in Singapore and New Delhi. Quadria provides growth capital and strategic guidance to healthcare companies such as hospitals, pharmaceutical firms, diagnostics providers, and health-tech platforms. Its partners and investment team combine medical, operational, and financial expertise to scale healthcare businesses. Through its investments, Quadria aims to expand healthcare access, improve quality and affordability of medical services, and strengthen healthcare systems, impacting millions of patients across emerging Asian markets while delivering strong investor returns.

Transcript

[Ritik]

Hello. Hello. Hi.

Good evening, sir.

[Sunil]

Hi. Good evening. Hi. How are you?

[Ritik]

I'm good, sir. How are you?

[Sunil]

Very well. Thanks.

[Ritik]

Thank you for having me. I understand your schedule must be really tight.

[Sunil]

It's fine. It's fine.

[Ritik]

Thank you. So before we start, I would like to introduce myself.

My name is Ritik Raj Singh, and I'm currently pursuing a PGDM finance from Xavier Institute of Social Service, Ranchi. And this is a part of my assignment that is marketing of financial services. And with that, I'd like to begin.

So my first question is, could you please throw some light on your career trajectory over these years, and your versatile industry experience, your time at Quadria Capital and a typical day as a partner.

[Sunil]

So Ritik, as I mentioned, that's the reason why I had shared the responses. You know, I think what is effective is that you have my written response, right? Yes.

So use it. If there are any clarifications within the response, then feel free to ask me.

[Ritik]

I understand, but as a part of my assignment, I need a conversation so that I can generate a transcript. So that's why I need to talk to you about all of this in detail.

[Sunil]

I'll have to then repeat it. I'm just trying to conserve time.

[Ritik]

I understand. I totally understand, sir.

[Sunil]

But then what do you want me to do? Should I just verbally repeat those? Because it's going to take time, right?

[Ritik]

Yeah, yeah. So let's do one thing. Let's just summarize everything.

[Sunil]

I'm trying to make it effective. No, I understand.

[Ritik]

I understand your point. But that is one of my requirements. We need to submit an audio file based on what the transcript needs to be.

[Sunil]

But are you recording the audio file?

[Ritik]

Yes, I asked Nivedita to record this conversation. This is a recorded conversation.

[Sunil]

What did I send to you? So let me just take you through this. So I started my career around 2000 Treasury with PNP Guilds.

And then I moved on to the advisory side where I started to do M&A. I started to do project finance, mainly doing project finance on the pharma side. Then I moved to M&A where I did generalist M&A roles.

Spent about three years with a company called Pinole. And then moved to Relicare Capital Markets where I started to do M&A for healthcare. Spent about three, three and a half years there.

And then I joined Quadria where I now lead the investment for Quadria. And we invest in healthcare. And within healthcare we invest across pharma, hospitals, diagnostics, medical devices, everything.

So that's about me, my typical day as a partner in Quadria. I look at investments, I look at exits, I look at portfolio management, I look at fundraise. So there are a variety of roles that I play.

But largely I run the activities in India and I also run the activities of the firm in Middle East. So it's divided between investments, exits, fundraise, office management and also on the policy side. So this is how I typically spend my day.

[Ritik]

As I understand Quadria is mostly focused on healthcare. So why did Quadria Capital choose to focus exclusively on healthcare rather than diversifying across sectors?

[Sunil]

So all of us who were part of the founding team came from healthcare background. Some were clinicians, some were from pharma background, some were from advisory background like me. So the team's strength was healthcare.

And we saw the opportunity of healthcare in Asia. And it was marrying capability versus opportunity. That is why we did Quadria and why we are focusing on healthcare at Quadria.

Alright.

[Ritik]

One moment. Am I audible?

[Sunil]

Yeah.

[Ritik]

So Quadria Capital positions itself as a healthcare growth investor. How does this positioning influence your investment strategy? And the type of companies that you target?

[Sunil]

So we are growth investors. So we typically look at companies that are sizable in nature, are profitable, and want to grow into the next orbit. So these are not startups.

These are mid-market companies that have revenues from anywhere from 4-500 crores to 3-4000 crores. These are companies that are profitable, cash generating, and need further capital to go into newer areas of growth. So that's it.

[Ritik]

Alright. Could you please elaborate a structure or a flow of an investment that is made in a typical private equity firm? With an example of one of your successful ventures, that is AIG Hospitals India.

[Sunil]

No, sorry. What did you say? Structure or flow of making investments in a PE firm.

So the process is very simple. We get in touch with the company. We figure out their current position.

We figure out their growth plans, need for capital. So what we do is we do a due diligence, a very extensive due diligence on the business plan, the value proposition of the company, the quality of management, the market, and clarity of growth prospects. So this is all due diligence properly.

Before we get into the IC and seek approval from IC. Once the IC approves, then we get into a shareholder's agreement, negotiate terms with founders, which includes how much we are investing, what would be our board rights, what would be our reserved matter rights, and how do we exit the company after 5, 6, 7 months.

[Ritik]

Alright. In the era of digital marketing and content creation, when I was diving deeper into Quadria Capital, I could not find any social media presence. How does that work out?

Is there any advantage to it? Does it affect how the firm plays out in the market?

[Sunil]

No, so the advantage, see it's a B2B model. We are not targeting retail. Digital marketing is mainly relevant for retail, not for any institutional setup.

It's not private equity, but any large institutional setup, which is into enterprise space, then you'll see less of social media presence. Our presence would generally be at conferences, at network events, at industry forums. Those are the places where we have to be visible.

Otherwise, it's a very highly reference-driven market, which is why you will not see a lot of social media presence. Not only for Quadria, but for any other funders where it will be a similar case.

[Ritik]

Okay, understandable. What are the primary channels? Okay, you already talked about it.

It's the conferences that you have, and your institutional relationships, right? Moving on to another question. The investment decisions that you make are majorly influenced by the macroeconomic trends, demographic changes, and any regulatory policies by the government and healthcare sector.

What are the challenges your firm faces, and how does it tackle them?

[Sunil]

The good thing is that the healthcare sector, just like education, is a counter-sectional sector. It has a certain growth and momentum behind it, because the need for healthcare and education will always be there. So that is the positive side.

The challenges that we face is obviously, there is a regulatory challenge. Regulations can hamper the business. Policies from government can hamper the business.

The shortage of resources, shortage of doctors, shortage of nurses, those can hamper the growth. Those are the challenges that we face on and off when we look at investments. Okay.

[Ritik]

Is there any key metric that you utilize to measure the strategies that you have and the initiatives that you take?

[Sunil]

No, there are no specific metrics that we use for this specific point.

[Ritik]

Alright. As the market is constantly changing, and it's ever evolving, how does the firm deal with the changing environment and investment patterns of investors post-COVID?

[Sunil]

One of the most important things is that we do a check and assessment of business continuity plan. Do they have a business continuity plan or not? Is the business resilient or not?

Do they have the right technology or not? Does the management team have an experience of pivoting and taking up those challenges or not? These are things that we assess when we make investments to make sure that any situation like COVID is carefully and well handled.

[Ritik]

Okay. From a private equity firm perspective, since you and your firm have been in the business for decades, what all has changed and how has the market evolved for the healthcare sector in comparison to, let's say, 20 years ago?

[Sunil]

Sorry?

[Ritik]

From a private equity firm perspective, since you and your firm have been in the business for decades, what all has changed and how has the market evolved for the healthcare sector in comparison to, let's say, 20 years ago?

[Sunil]

A lot of corporates have come into this. A lot of private equity investors have come into healthcare. Healthcare, we are seeing a lot of new talents coming in, and that is basically preparing the sector.

And the policy is becoming very conducive, not only for hospitals or diagnostics, but also for product companies like pharma and medical devices. Those are the big changes. Plus, lastly, you know, capital market positive change, where we are seeing a lot of listed, a lot of healthcare companies going on for listing and basically showing huge amount of interest in investing in those companies.

[Ritik]

Okay. And when evaluating healthcare business, which of the seven elements of marketing is critical for the success? Let's say service, quality, pricing, accessibility, people, processes, etc.

[Sunil]

Everything is important. Everything is important. There is one thing which is important.

It varies in degrees, but I would say almost everything is what you mentioned is.

[Ritik]

Okay, understood. And are there any major trends that you see shaping the future of healthcare investment and marketing in Asia currently?

[Sunil]

So, technology is going to be one. Digital models will change quite dramatically. This will become more consumer-driven market where consumers would know a large part of their health and what to take, what not to take.

So, these are going to be two big catalysts for big change in the future.

[Ritik]

Okay. Now, I'm wrapping it up. I have two more questions.

One is how is AI influencing healthcare delivery and investment decision-making in the companies Quatera invests in? Basically, AI's role in healthcare and the investments that you make.

[Sunil]

So, artificial intelligence is a very important part. It is helping in clinical decision-making, diagnostics, imaging, also improving workflow and patient engagement. So, these are the big areas where we have seen a lot of influence of AI for the benefit of the segment.

[Ritik]

Okay. Before I let you go, any advice for the students who are trying to make their career in finance or more specifically private equity?

[Sunil]

Yeah, so build on your fundamentals in corporate finance and valuation. Create a lot of awareness. Study a lot about businesses, not only in healthcare or in private equity but beyond so that you bring a logical semblance in anything that you're doing.

Then, you should be good at storytelling. Put on articulation. Yeah, so those are things that you should look at.

[Ritik]

All right. Thank you, Mr. Sunil. I understand your schedule is again tight.

And yet, you gave me this amount of your time to me.

[Sunil]

No, not at all. I just thought I was more efficient. But I didn't know that I have to repeat.

Otherwise, I wouldn't have made it.

[Ritik]

No, sir. Apologies. I hope it was a good time for you as well.

And I just hope that I would have been clearer when communicating with you.

[Sunil]

Don't worry. You don't need to. Okay.

All of us have gone through this phase. So, no apologies at all.

[Ritik]

Okay, sir.

[Sunil]

Happened to be the very best.

[Ritik]

Yes, sir.

[Sunil]

Well, and if you need any other information or anything, just let me know.
